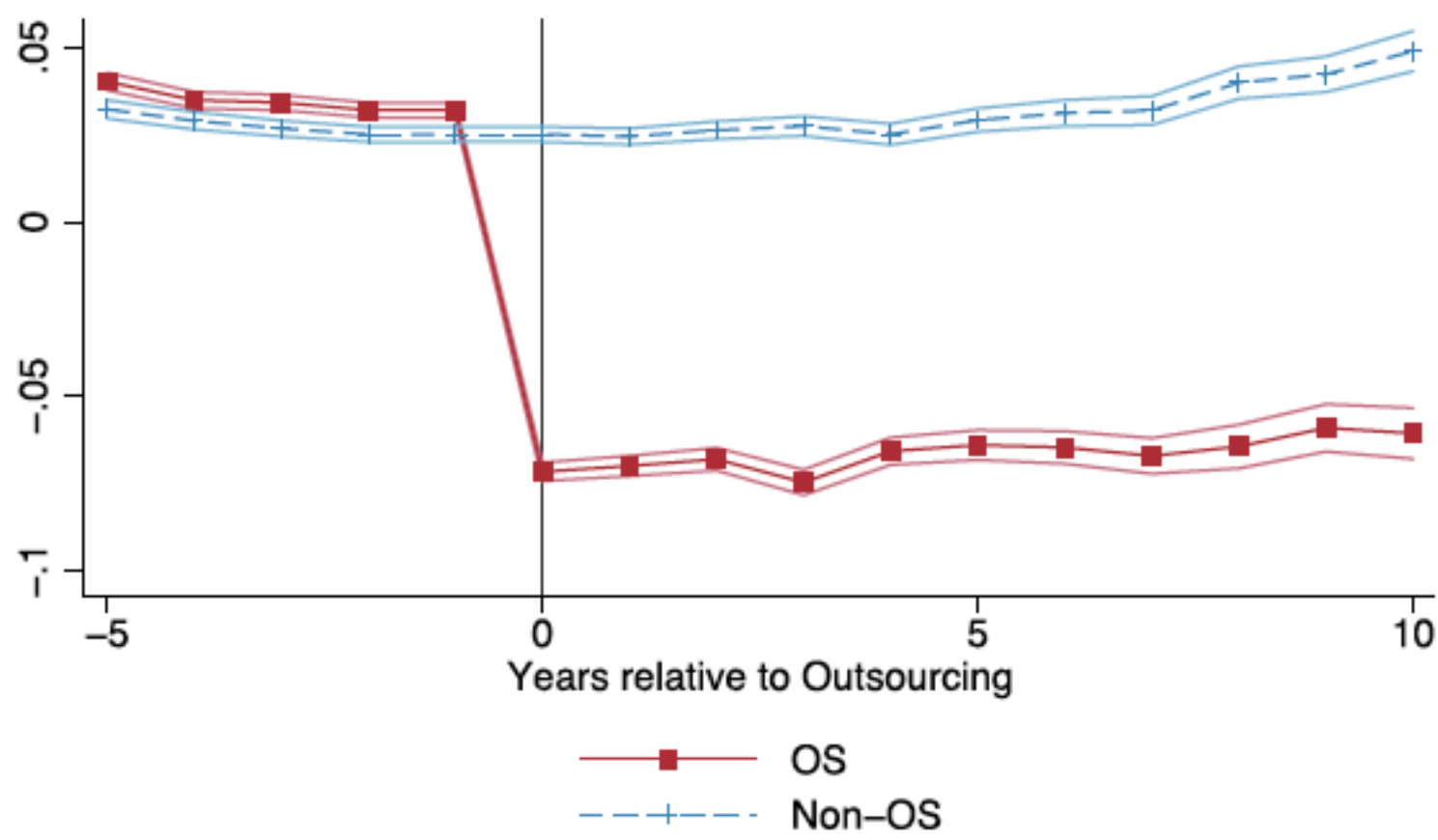
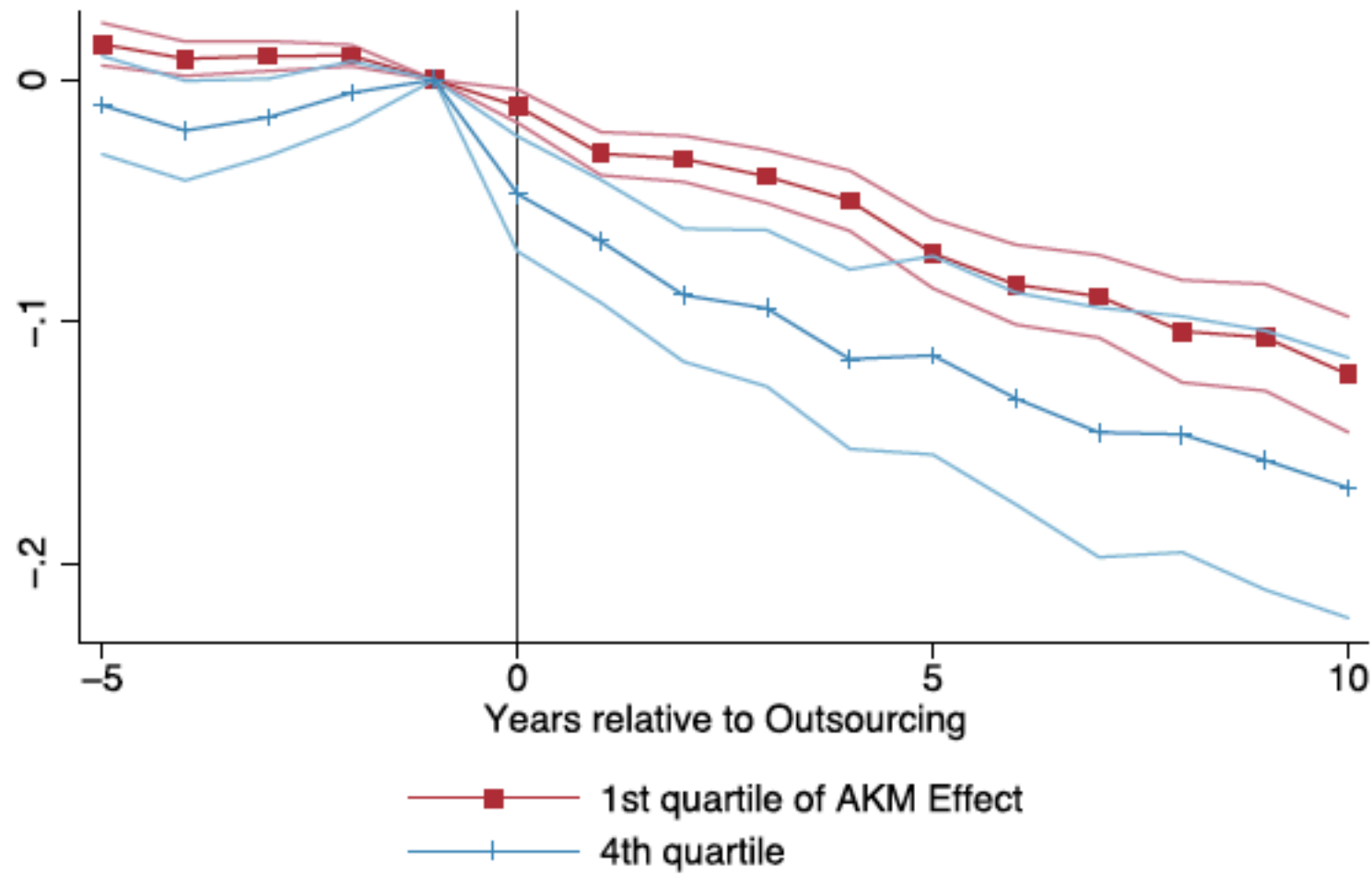




(A) Evolution of AKM Effects Before and After Outsourcing



(B) Wage Losses by AKM Effect of Outsourcing Establishment (1st / bottom vs. 4th / top Quartile)

FIGURE VI

On-site Outsourcing and Establishment (AKM) Effects

Panel A shows the average estimated establishment (AKM) effect of the establishments where the workers in the outsourced and control groups are working before ($t = -1$) and after ($t = 0$) the outsourcing event. The AKM effect is estimated from a wage regression including a full set of worker and establishment fixed effects using the universe of wage records for full-time male workers in Germany. Panel B shows regression estimates of the effects of being outsourced on log wages before and after the outsourcing event separately for workers who are outsourced from high and low AKM effect establishments. The bands are 95% confidence intervals (standard errors clustered on the level of the outsourcing establishment). The sample is restricted to workers who are at the same establishment as in time $t = -1$ in all years before outsourcing, and in the same establishment as in time $t = 1$ in all years after outsourcing.